



National  
Qualifications  
2019

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# **2019 Accounting**

## **Higher**

### **Finalised Marking Instructions**

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## General marking principles for Higher Accounting

*Always apply these general principles. Use them in conjunction with the specific marking instructions, which identify the key features required in candidates' responses.*

- (a) Always use positive marking. This means candidates accumulate marks for the demonstration of relevant skills, knowledge and understanding; marks are not deducted for errors or omissions.
- (b) If a candidate response does not seem to be covered by either the principles or specific marking instructions, and you are uncertain how to assess it, you must seek guidance from your team leader.
- (c) Always follow through consequentiality subsequent to a calculative error and give credit for any errors in subsequent calculations or working.
- (d) Mark scored out or erased working which has not been replaced, where still legible. However, if the scored out or erased working has been replaced, mark only the work which has not been scored out.
- (e) For **state** questions, candidates must list a number of relevant items or facts. These must relate to the context of the question and do not need to be in any particular order.

Up to the total mark allocation for this question

- award **1 mark** for each relevant item or fact.

- (f) For **describe** questions, candidates must make a number of relevant factual points, which may be characteristics and/or features, as appropriate to the question asked. These points may relate to a concept, process or situation. Candidates may provide a number of straightforward points or a smaller number of developed points, or a combination of these.

Up to the total mark allocation for this question

- award **1 mark** for each relevant factual point
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

- (g) For **analyse** questions, candidates must demonstrate their ability to identify, describe and explain relevant parts and the relationships between the parts and/or the whole. Candidates must be able to draw out and relate any implications.

Up to the total mark allocation for this question

- award **1 mark** for each relevant point of analysis
- award **1 mark** for any further development of a relevant point, including exemplification when appropriate.

## Marking instructions for each question

### Section 1

| Question                           |         |      | Expected response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |     |  | Max mark | Additional guidance |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
|------------------------------------|---------|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|--|----------|---------------------|--|---|--|------------------|--|--|--|--|------------------------------------|--------|----|--|--|-----------------------------------|--------|-----|--|--|------------------------------------|--------|------|---------|--|--|--|--|--|--|---------------|--|--|--|--|-------------------------------|---------|-----|--|--|---------------------------------|--------|-----|--|--|------------------------------|--------|-----|---------|--|--------------|--|--|---------|--|--|--|--|--|--|-----------|--|--|--|--|--------------------------|--|--|--------|-----|--|--|--|--|--|------------|--|--|---------|--|--|--|--|--|--|---------------------------------|--|--|---------|-----|--|--|--|--|--|-----------------|--|--|---------|--|---|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1.                                 | (a)     |      | <p><b>Job Cost Statement for Job 99 ✓</b></p> <table><thead><tr><th></th><th>£</th><th></th><th>£</th><th></th></tr></thead><tbody><tr><td colspan="5">Direct Materials</td></tr><tr><td>Material X (5,000 kg @ £10 per kg)</td><td>50,000</td><td>✓*</td><td></td><td></td></tr><tr><td>Material Y (2,500 kg @ £8 per kg)</td><td>20,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Material Z (1,000 kg @ £30 per kg)</td><td>30,000</td><td>(1)*</td><td>100,000</td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td></tr><tr><td colspan="5">Direct Labour</td></tr><tr><td>Dept A (24,000 x (3/6) @ £12)</td><td>144,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Dept B (24,000 hrs x (2/6) @£8)</td><td>64,000</td><td>(1)</td><td></td><td></td></tr><tr><td>Dept C 24,000 x (1/6) @ £10)</td><td>40,000</td><td>(1)</td><td>248,000</td><td></td></tr><tr><td>PRIME COST ✓</td><td></td><td></td><td>348,000</td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Overheads</td><td></td><td></td><td></td><td></td></tr><tr><td>24,000 hrs x £3 per hour</td><td></td><td></td><td>72,000</td><td>(1)</td></tr><tr><td></td><td></td><td></td><td></td><td></td></tr><tr><td>TOTAL COST</td><td></td><td></td><td>420,000</td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Profit margin (420,000/70) x 30</td><td></td><td></td><td>180,000</td><td>(2)</td></tr><tr><td></td><td></td><td></td><td></td><td></td></tr><tr><td>SELLING PRICE ✓</td><td></td><td></td><td>600,000</td><td></td></tr></tbody></table> <p>Heading, labels and arithmetic (1)</p> |     |  |          | £                   |  | £ |  | Direct Materials |  |  |  |  | Material X (5,000 kg @ £10 per kg) | 50,000 | ✓* |  |  | Material Y (2,500 kg @ £8 per kg) | 20,000 | (1) |  |  | Material Z (1,000 kg @ £30 per kg) | 30,000 | (1)* | 100,000 |  |  |  |  |  |  | Direct Labour |  |  |  |  | Dept A (24,000 x (3/6) @ £12) | 144,000 | (1) |  |  | Dept B (24,000 hrs x (2/6) @£8) | 64,000 | (1) |  |  | Dept C 24,000 x (1/6) @ £10) | 40,000 | (1) | 248,000 |  | PRIME COST ✓ |  |  | 348,000 |  |  |  |  |  |  | Overheads |  |  |  |  | 24,000 hrs x £3 per hour |  |  | 72,000 | (1) |  |  |  |  |  | TOTAL COST |  |  | 420,000 |  |  |  |  |  |  | Profit margin (420,000/70) x 30 |  |  | 180,000 | (2) |  |  |  |  |  | SELLING PRICE ✓ |  |  | 600,000 |  | 9 | <p>*1 mark for X and Z<br/>1 mark for Y</p> <p>If machine hours included, maximum 1 mark awarded for correct labour figures.</p> <p>If VAT added before margin, award maximum 1 mark for profit margin.<br/>If VAT shown after profit margin - ignore.</p> |
|                                    | £       |      | £                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Direct Materials                   |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Material X (5,000 kg @ £10 per kg) | 50,000  | ✓*   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Material Y (2,500 kg @ £8 per kg)  | 20,000  | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Material Z (1,000 kg @ £30 per kg) | 30,000  | (1)* | 100,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
|                                    |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Direct Labour                      |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Dept A (24,000 x (3/6) @ £12)      | 144,000 | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Dept B (24,000 hrs x (2/6) @£8)    | 64,000  | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Dept C 24,000 x (1/6) @ £10)       | 40,000  | (1)  | 248,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| PRIME COST ✓                       |         |      | 348,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
|                                    |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Overheads                          |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| 24,000 hrs x £3 per hour           |         |      | 72,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | (1) |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
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| TOTAL COST                         |         |      | 420,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
|                                    |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| Profit margin (420,000/70) x 30    |         |      | 180,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | (2) |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
|                                    |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |
| SELLING PRICE ✓                    |         |      | 600,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |     |  |          |                     |  |   |  |                  |  |  |  |  |                                    |        |    |  |  |                                   |        |     |  |  |                                    |        |      |         |  |  |  |  |  |  |               |  |  |  |  |                               |         |     |  |  |                                 |        |     |  |  |                              |        |     |         |  |              |  |  |         |  |  |  |  |  |  |           |  |  |  |  |                          |  |  |        |     |  |  |  |  |  |            |  |  |         |  |  |  |  |  |  |                                 |  |  |         |     |  |  |  |  |  |                 |  |  |         |  |   |                                                                                                                                                                                                                                                            |

| Question |     |                                                                                                                                            | Expected response                   |           |            |             |             |             |             |             | Max mark | Additional guidance                                                                                               |             |                                                                        |
|----------|-----|--------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|-----------|------------|-------------|-------------|-------------|-------------|-------------|----------|-------------------------------------------------------------------------------------------------------------------|-------------|------------------------------------------------------------------------|
|          | (b) | (i)                                                                                                                                        | Overhead Analysis Statement/Sheet ✓ |           |            |             |             |             |             |             | 16       | If 1 arithmetic error award 2 marks, if 2 errors award 1 mark, if 3 or more errors award 0 marks in any one line. |             |                                                                        |
|          |     | Overhead                                                                                                                                   |                                     | Basis     | Total      | Dept A<br>£ | Dept B<br>£ | Dept C<br>£ | Dept D<br>£ | Dept E<br>£ |          |                                                                                                                   | Marks       |                                                                        |
|          |     | Indirect labour                                                                                                                            |                                     | Allocated | £81,800    | £30,000     | £13,100     | £18,700     | £12,300     | £7,700      |          |                                                                                                                   | 1<br>(line) |                                                                        |
|          |     | Depreciation of machinery                                                                                                                  |                                     | Value     | £72,000    | 18,000      | 16,000      | 24,000      | 8,000       | 6,000       |          |                                                                                                                   | (3)         |                                                                        |
|          |     | Heat and light                                                                                                                             |                                     | Area      | £104,000   | 40,000      | 20,000      | 34,000      | 6,000       | 4,000       |          |                                                                                                                   | (3)         |                                                                        |
|          |     | Factory admin                                                                                                                              |                                     | Employees | £9,000     | 4,000       | 1,600       | 2,400       | 400         | 600         |          |                                                                                                                   | (3)         |                                                                        |
|          |     | Machinery running costs                                                                                                                    |                                     | Mach Hrs  | £150,000   | 54,000      | 51,000      | 36,000      | 6,000       | 3,000       |          |                                                                                                                   | (3)         |                                                                        |
|          |     | Rent and rates                                                                                                                             |                                     | Area      | £26,000    | 10,000      | 5,000       | 8,500       | 1,500       | 1,000       |          |                                                                                                                   | (3)         |                                                                        |
|          |     | Total Departmental Overheads                                                                                                               |                                     |           | £442,800   | £156,000    | £106,700    | £123,600    | £34,200     | £22,300     |          |                                                                                                                   | ✓           |                                                                        |
|          |     | (ii)                                                                                                                                       | Dept D                              |           | Dir Lab Hr |             | 15,000      | 7,200       | 10,800      | (34,200)    | 1,200    | (3)                                                                                                               | 3           | If 1 arithmetic error award 1 mark, if 2 or more errors award 0 marks. |
|          |     |                                                                                                                                            |                                     |           |            | £171,000    | £113,900    | £134,400    | -           | £23,500     |          |                                                                                                                   |             |                                                                        |
|          |     | (iii)                                                                                                                                      | Dept E                              |           | Dir Mch Hr |             | 9,000       | 8,500       | 6,000       |             | (23,500) | (2)                                                                                                               |             |                                                                        |
|          |     | Total Production Dept Overheads                                                                                                            |                                     |           |            | £180,000    | £122,400    | £140,400    |             |             | ✓        | 3                                                                                                                 |             |                                                                        |
|          |     | Correctly headed up statement, arithmetic totals for department overheads in (b)(i) and production department overheads in (b)(ii) & (iii) |                                     |           |            |             |             |             |             |             |          |                                                                                                                   |             |                                                                        |

| Question                       |         |      | Expected response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |     |         |     |          |       |  | Max mark | Additional guidance                         |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
|--------------------------------|---------|------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|---------|-----|----------|-------|--|----------|---------------------------------------------|--|---|--|---|--|-------|-------|--------------------------------|---------|-----|---------|-----|---------|-----|----------|--|--------------------|--|--|--|--|--|--|---------|-----|------------|--|--|--|--|--|--|---------|-----|---|--------------------------------------------------------------|
|                                | (c)     | (i)  | <b>Overhead absorption rates</b><br><br>Dept A - £180,000/50,000 = £3·60 per labour hour (1)<br><br>Dept B - £122,400/34,000 = £3·60 per machine hour (1)<br><br>Dept C - £140,400/36,000 = £3·90 per labour hour (1)                                                                                                                                                                                                                                                                                                    |     |         |     |          |       |  | 3        | If £ missing, do not award first mark only. |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
|                                |         | (ii) | <table><tr><td></td><td>A</td><td></td><td>B</td><td></td><td>C</td><td></td><td>TOTAL</td><td>Marks</td></tr><tr><td>Overheads applied (dept rates)</td><td>£43,200</td><td>(1)</td><td>£45,360</td><td>(1)</td><td>£15,600</td><td>(1)</td><td>£104,160</td><td></td></tr><tr><td>Factory-wide basis</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£72,000</td><td>(1)</td></tr><tr><td>Increase *</td><td></td><td></td><td></td><td></td><td></td><td></td><td>£32,160</td><td>(1)</td></tr></table> |     |         |     |          |       |  |          | A                                           |  | B |  | C |  | TOTAL | Marks | Overheads applied (dept rates) | £43,200 | (1) | £45,360 | (1) | £15,600 | (1) | £104,160 |  | Factory-wide basis |  |  |  |  |  |  | £72,000 | (1) | Increase * |  |  |  |  |  |  | £32,160 | (1) | 5 | * Increase or decrease must be indicated to gain final mark. |
|                                | A       |      | B                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |     | C       |     | TOTAL    | Marks |  |          |                                             |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
| Overheads applied (dept rates) | £43,200 | (1)  | £45,360                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | (1) | £15,600 | (1) | £104,160 |       |  |          |                                             |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
| Factory-wide basis             |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |     |         |     | £72,000  | (1)   |  |          |                                             |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
| Increase *                     |         |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |     |         |     | £32,160  | (1)   |  |          |                                             |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |
|                                | (d)     |      | If overheads are underabsorbed, then <b>profits will be reduced.</b> (as the selling price charged to customers may not cover all of the costs incurred by the business during the year) (1)                                                                                                                                                                                                                                                                                                                             |     |         |     |          |       |  | 1        |                                             |  |   |  |   |  |       |       |                                |         |     |         |     |         |     |          |  |                    |  |  |  |  |  |  |         |     |            |  |  |  |  |  |  |         |     |   |                                                              |





| Question |     |  | Expected response                         |  |              |              |           | Max mark | Additional guidance                                                                                                                                                                   |                 |
|----------|-----|--|-------------------------------------------|--|--------------|--------------|-----------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|          | (c) |  | <i>Year 12 Proposal</i>                   |  |              |              |           | 6        | If no attempt to use limiting factor in (b) then award marks for revised contribution per unit and total contribution for Product A and the fixed costs and profit - maximum 3 marks. |                 |
|          |     |  | Product A                                 |  |              |              |           |          |                                                                                                                                                                                       |                 |
|          |     |  | Revised Contribution per unit             |  | £51 (1)      |              |           |          |                                                                                                                                                                                       |                 |
|          |     |  | Revised Contribution per m/hr             |  | £17          |              |           |          |                                                                                                                                                                                       |                 |
|          |     |  | Order of Priority                         |  | C, A, B      |              |           |          |                                                                                                                                                                                       |                 |
|          |     |  | Allocation of machine hours               |  | Qty          | Hrs per unit | Total     |          |                                                                                                                                                                                       | Hours remaining |
|          |     |  | Hours available at full capacity          |  |              |              |           |          |                                                                                                                                                                                       | 32,500          |
|          |     |  | Allocate Product C                        |  | 5,000        | 2            | 10,000    |          |                                                                                                                                                                                       | 22,500          |
|          |     |  | Allocate Product A                        |  | 4,400        | 3            | 13,200    |          |                                                                                                                                                                                       | 9,300           |
|          |     |  | Possible production of Product B (9300/4) |  | 2,325        | (2)          | 4         |          |                                                                                                                                                                                       |                 |
|          |     |  |                                           |  | Product A    | Product B    | Product C |          |                                                                                                                                                                                       | Total           |
|          |     |  | Contribution per unit                     |  | £51          | £64          | £43       |          |                                                                                                                                                                                       |                 |
|          |     |  | Number of units                           |  | 4,400        | 2,325        | 5,000     |          |                                                                                                                                                                                       |                 |
|          |     |  | Total Contribution                        |  | £224,400 (1) | £148,800 (1) | £215,000  |          |                                                                                                                                                                                       | £588,200        |
|          |     |  | Less Fixed Costs                          |  |              |              |           |          |                                                                                                                                                                                       | £80,500         |
|          |     |  | Profit                                    |  |              |              |           |          |                                                                                                                                                                                       | £507,700 (1)    |



| Question |     |  | Expected response                                                                            |                                           |         |     | Max mark | Additional guidance |
|----------|-----|--|----------------------------------------------------------------------------------------------|-------------------------------------------|---------|-----|----------|---------------------|
|          |     |  | <b>ALTERNATIVE SOLUTIONS</b>                                                                 |                                           |         |     |          |                     |
|          |     |  | <b>1</b>                                                                                     |                                           |         |     |          |                     |
|          |     |  | Product A new Contribution                                                                   | £51                                       |         | (1) |          |                     |
|          |     |  | Contribution per machine hour                                                                | £17                                       |         |     |          |                     |
|          |     |  |                                                                                              |                                           |         |     |          |                     |
|          |     |  | Additional Contribution for 400 units of A                                                   | 400 x £51 or *1,200 x £17                 | 20,400  | (1) |          |                     |
|          |     |  | Reduction in Contribution from 4,000 units of A                                              | 4000 x (54-51)                            | 12,000  | (1) |          |                     |
|          |     |  | Reduction in Contribution from B                                                             | *1,200 (1) hours x £16 or 300 units x £64 | 19,200  | (1) |          |                     |
|          |     |  |                                                                                              |                                           |         |     |          |                     |
|          |     |  | Original Profit                                                                              |                                           | 518,500 |     |          |                     |
|          |     |  | Reduction                                                                                    | (+20,400-12,000-19,200)                   | 10,800  |     |          |                     |
|          |     |  | Revised Profit                                                                               |                                           | 507,700 | (1) |          |                     |
|          |     |  | <b>2</b>                                                                                     |                                           |         |     |          |                     |
|          |     |  | Product A new Contribution                                                                   | £51                                       |         | (1) |          |                     |
|          |     |  |                                                                                              |                                           |         |     |          |                     |
|          |     |  | Loss of Contribution from Product A                                                          | 4000 units x £54                          | 216,000 | (1) |          |                     |
|          |     |  | Increase in Contribution from revised Product A                                              | 4400 units x £51                          | 224,000 | (1) |          |                     |
|          |     |  | Reduction in Contribution from B                                                             | 1,200 (1) hours x £16 or 300 units x £64  | 19,200  | (1) |          |                     |
|          |     |  |                                                                                              |                                           |         |     |          |                     |
|          |     |  | Original Profit                                                                              |                                           | 518,500 |     |          |                     |
|          |     |  | Reduction                                                                                    | (-216,000+224,000-19,200)                 | 10,800  |     |          |                     |
|          |     |  | Revised Profit                                                                               |                                           | 507,700 | (1) |          |                     |
|          | (d) |  | Advise Newben plc not to implement the proposal in Year 12 as the profit would be lower. (1) |                                           |         |     | 1        |                     |

| Question  |     |     | Expected response               |        |     |         |         |         |         |         |        |         | Max mark | Additional guidance                                                                                                                                                                                                                                                                                                                                                                                                                              |         |
|-----------|-----|-----|---------------------------------|--------|-----|---------|---------|---------|---------|---------|--------|---------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------|
| 2. PART B |     |     |                                 |        |     |         |         |         |         |         |        |         | 9        | If complete reversal or not shown as an account, award half marks.<br><br>If nomenclature error, do not award <b>1 mark</b> maximum on first occasion.<br><br>If any quantity is entered other than materials, do not award mark.<br><br>Normal loss must be based on input <b>material</b> quantity.<br><br>If CPU is calculated correctly and applied to both Finished Goods and Abnormal Loss but Balance is incorrect, award <b>1 mark</b> . |         |
|           | (a) | (i) | <u>Mixing Process Account ✓</u> |        |     |         |         |         |         |         |        |         |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Details                         | INPUTS |     |         | OUTPUTS |         |         | BALANCE |        |         |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     |                                 | Qty    | CPU | £       | Qty     | CPU     | £       | Qty     | CPU    | £       |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Materials from Refining         | 4,000  | £5  | £20,000 | (1)     |         |         | 4,000   | £5·00  | £20,000 |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Additional Materials            | 2,000  | £2  | £4,000  | (2)     |         |         | 6,000   | £4·00  | £24,000 |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Labour                          |        |     | £36,000 | (1)     |         |         | 6,000   | £10·00 | £60,000 |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Variable Overheads              |        |     | £15,000 | (1)     |         |         | 6,000   | £12·50 | £75,000 |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Fixed Overheads                 |        |     | £6,000  |         |         |         | 6,000   | £13·50 | £81,000 |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     | Normal Loss                     |        |     |         | 300     | £4·00   | £1,200  | (1)     | 5,700  | £14·00  |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  | £79,800 |
|           |     |     | Closing Work-in-progress        |        |     |         | 500     | £3·60   | £1,800  | (1)     | 5,200  | £15·00  |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  | £78,000 |
|           |     |     | Transfer to Stores              |        |     |         | 5,000   | £15·00* | £75,000 | *(2)    | 200    | £15·00  |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  | £3,000  |
|           |     |     | Abnormal Loss                   |        |     |         | 200     | £15·00* | £3,000  | **      | 0      | 0       | £0       |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |
|           |     |     |                                 |        |     |         |         |         |         |         |        |         |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                  |         |

| Question |     |      | Expected response                                                                                                                                                                                                                                                                                                       |     |        |        |        |         |        |       |         | Max mark | Additional guidance |        |    |
|----------|-----|------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----|--------|--------|--------|---------|--------|-------|---------|----------|---------------------|--------|----|
|          |     | (ii) | <b><u>Abnormal Loss Account ✓</u></b>                                                                                                                                                                                                                                                                                   |     |        |        |        |         |        |       |         | 3        |                     |        |    |
|          |     |      | Details                                                                                                                                                                                                                                                                                                                 |     | INPUTS |        |        | OUTPUTS |        |       | BALANCE |          |                     |        |    |
|          |     |      |                                                                                                                                                                                                                                                                                                                         | Qty | CPU    | £      | Qty    | CPU     | £      | Qty   | CPU     |          |                     | £      |    |
|          |     |      | Transfer from Mixing                                                                                                                                                                                                                                                                                                    | 200 | £15    | £3,000 | ** (1) |         |        | 200   | £15     |          |                     | £3,000 |    |
|          |     |      | Cash and Cash Equiv                                                                                                                                                                                                                                                                                                     |     |        |        | 200    | £4.00   | £800   | ] (1) |         |          |                     | £2,200 |    |
|          |     |      | Income Statement                                                                                                                                                                                                                                                                                                        |     |        |        |        |         | £2,200 |       | 0       |          |                     | 0      | £0 |
|          |     |      | Account names, running balance and no arithmetical errors in balance column. (1)                                                                                                                                                                                                                                        |     |        |        |        |         |        |       |         |          |                     |        |    |
|          |     |      |                                                                                                                                                                                                                                                                                                                         |     |        |        |        |         |        |       |         |          |                     |        |    |
|          | (b) | (i)  | Process Costing consists of a succession of continuous operations or processes. (1)<br>Each process represents a different stage of manufacture. (1)<br>The output of one process becomes the input of another. (1)<br>This continues until the units are complete and are transferred to a Finished Goods account. (1) |     |        |        |        |         |        |       |         | 1        |                     |        |    |
|          |     | (ii) | Normal loss is anticipated whereas Abnormal loss is unexpected. (1)<br>Normal loss is valued at 0 or scrap value whereas Abnormal loss is valued at the good output value. (1)<br>Normal loss cannot be avoided whereas Abnormal loss is a loss which is over and above the normal loss. (1)                            |     |        |        |        |         |        |       |         | 2        |                     |        |    |

| Question |     |     | Expected response                                         |      |     |       |     | Max mark | Additional guidance                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|----------|-----|-----|-----------------------------------------------------------|------|-----|-------|-----|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3.       | (a) | (i) | Manufacturing Account for Year Ended 31 December Year 3 ✓ |      |     |       |     | 13       | <p>If direct costs or factory overheads deducted but indicated as add, treat as arithmetical error.</p> <p>If factory overheads indicated less or no indication and subtracted, award marks where possible and divide by 2.</p> <p><b>2 marks</b> for all 4 factory costs. If one cost incorrect or missing award <b>1 mark</b>. 2 or more costs missing or incorrect no marks.</p> <p>If labelled profit on manufacture and negative figure shown, <b>ACCEPT</b>.</p> |
|          |     |     |                                                           | £000 |     | £000  |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Opening inventory of raw materials                        |      |     | 80    | ✓   |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Purchase of raw materials                                 | 200  | ✓   |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Carriage in on raw materials                              | 3    | (1) | 203   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     |                                                           |      |     | 283   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Closing inventory of raw materials                        |      |     | 60    | (1) |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>COST OF RAW MATERIALS CONSUMED ✓</b>                   |      |     | 223   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     |                                                           |      |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>Add Direct Costs</b>                                   |      |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Production wages                                          | 120  | (1) |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Royalties                                                 | 5    | (1) | 125   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>PRIME COST ✓</b>                                       |      |     | 348   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     |                                                           |      |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>Add Factory Overheads</b>                              |      |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Rates ((33 + 7) x 80%)                                    | 32   | (1) |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Management salaries (60 x 75%)                            | 45   | (1) |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Factory indirect labour                                   | 111  |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Factory (indirect) power                                  | 10   |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Repairs to factory machinery                              | 14   |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Factory heat and light                                    | 23   | (2) |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Depreciation of factory machinery (630 - 200) x 20%       | 86   | (1) |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Factory cleaning (30/15 x 12)                             | 24   | (1) | 345   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     |                                                           |      |     | 693   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Opening inventory of work in progress                     |      |     | 45    | ✓   |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     |                                                           |      |     | 738   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Closing inventory of work in progress                     |      |     | 15    | (1) |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>FACTORY COST OF PRODUCTION ✓</b>                       |      |     | 723   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Profit on manufacture                                     |      |     | 277   |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | <b>MARKET VALUE OF FINISHED GOODS ✓</b>                   |      |     | 1,000 | (1) |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|          |     |     | Heading, labels, arithmetic (1)                           |      |     |       |     |          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |

| Question                                             |     |      | Expected response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |  |       |     |  |  | Max mark                                             | Additional guidance |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
|------------------------------------------------------|-----|------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|-------|-----|--|--|------------------------------------------------------|---------------------|--|--|--|--|--|--|---------------|--|--|--|--|-------|---|--|--|---------------|--|--|--|--|--|--|--|--|-------------------------------------|--|--|-----|--|--|---|--|--|------------------------------------|--|--|-------|--|--|-----|--|--|--|--|--|-------|--|--|--|--|--|------------------------------------------|--|--|----|--|--|-----|--|--|--|--|--|-------|--|--|--|--|--|-------------------------|----|-----|--|--|--|--|--|--|--------------------------------|---|-----|----|--|--|--|--|--|--|--|--|--|--|-------|--|--|--|----------------|--|--|--|--|-----|--|--|--|---|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                      |     | (ii) | <table><tr><td colspan="6">Income Statement for Year Ended 31 December Year 3 ✓</td><td></td><td></td></tr><tr><td>Sales revenue</td><td></td><td></td><td></td><td></td><td>1,950</td><td>✓</td><td></td><td></td></tr><tr><td>Cost of sales</td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Opening Inventory of finished goods</td><td></td><td></td><td>110</td><td></td><td></td><td>✓</td><td></td><td></td></tr><tr><td>Add Market Value of finished goods</td><td></td><td></td><td>1,000</td><td></td><td></td><td>(1)</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td>1,110</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Less Closing Inventory of finished goods</td><td></td><td></td><td>90</td><td></td><td></td><td>(1)</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td>1,020</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Add: Warehouse expenses</td><td>47</td><td>(1)</td><td></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Management salaries (60 x 10%)</td><td>6</td><td>(1)</td><td>53</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td></td><td>1,073</td><td></td><td></td><td></td></tr><tr><td>Gross Profit ✓</td><td></td><td></td><td></td><td></td><td>877</td><td></td><td></td><td></td></tr></table> |  |       |     |  |  | Income Statement for Year Ended 31 December Year 3 ✓ |                     |  |  |  |  |  |  | Sales revenue |  |  |  |  | 1,950 | ✓ |  |  | Cost of sales |  |  |  |  |  |  |  |  | Opening Inventory of finished goods |  |  | 110 |  |  | ✓ |  |  | Add Market Value of finished goods |  |  | 1,000 |  |  | (1) |  |  |  |  |  | 1,110 |  |  |  |  |  | Less Closing Inventory of finished goods |  |  | 90 |  |  | (1) |  |  |  |  |  | 1,020 |  |  |  |  |  | Add: Warehouse expenses | 47 | (1) |  |  |  |  |  |  | Management salaries (60 x 10%) | 6 | (1) | 53 |  |  |  |  |  |  |  |  |  |  | 1,073 |  |  |  | Gross Profit ✓ |  |  |  |  | 877 |  |  |  | 6 | <p>If no market value used in manufacturing account, accept factory cost of production.</p> <p>If any item repeated across both statements do not award in correct statement.</p> |
| Income Statement for Year Ended 31 December Year 3 ✓ |     |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Sales revenue                                        |     |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | 1,950 | ✓   |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Cost of sales                                        |     |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Opening Inventory of finished goods                  |     |      | 110                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |  |       | ✓   |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Add Market Value of finished goods                   |     |      | 1,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  |       | (1) |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
|                                                      |     |      | 1,110                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Less Closing Inventory of finished goods             |     |      | 90                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |  |       | (1) |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
|                                                      |     |      | 1,020                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Add: Warehouse expenses                              | 47  | (1)  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Management salaries (60 x 10%)                       | 6   | (1)  | 53                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |  |       |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
|                                                      |     |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | 1,073 |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
| Gross Profit ✓                                       |     |      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |  | 877   |     |  |  |                                                      |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |
|                                                      | (b) |      | Goods that are only part complete. (at the beginning or end of the accounting period) (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |  |       |     |  |  | 1                                                    |                     |  |  |  |  |  |  |               |  |  |  |  |       |   |  |  |               |  |  |  |  |  |  |  |  |                                     |  |  |     |  |  |   |  |  |                                    |  |  |       |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                                          |  |  |    |  |  |     |  |  |  |  |  |       |  |  |  |  |  |                         |    |     |  |  |  |  |  |  |                                |   |     |    |  |  |  |  |  |  |  |  |  |  |       |  |  |  |                |  |  |  |  |     |  |  |  |   |                                                                                                                                                                                   |

| Question |     |     | Expected response                                                                                                                                                                                                                                                                                                    | Max mark | Additional guidance |
|----------|-----|-----|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|
| 4.       | (a) | (i) | <p>Cromer plc<br/>Income Statement for year ended 31 December Year 4 ✓</p> <p>Profit for Year after Tax 90 ✓<br/>Add Unappropriated Profit 36 (1)<br/>126</p> <p>Less Appropriations<br/>Goodwill Written Down 8 ✓<br/>Ordinary Dividend 15 (1)<br/>Preference Dividend 24 (1) 47<br/>Unappropriated Profit ✓ 79</p> | 3        |                     |

| Question                               |             | Expected response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |            |            |     |  | Max mark                    | Additional guidance |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|----------------------------------------|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|------------|-----|--|-----------------------------|---------------------|----------------|------------|--|--|----------|-----|------|-----|-----|--|------------------|-----|-----|-----|---|-----|----------------|-----|----|-----|--|-------------|------------|------------|--|--|-----------------|--|--|-----------|-----|--|--|--|--|-----|--|--|-------------------------|--|--|--|--|--|--------------------------|--|--|----|-----|--|-------------------|--|--|----|---|--|-----------------------------|--|--|---|---|--|-----|--|--|-----------|-----|--|--|--|--|----|--|--|-----------------------------------|--|--|--|--|--|----------------|----|---|--|--|--|-------------------------|---|---|--|--|--|-------------------------|----|-----|--|--|--|--------------------------------|-----------|-----|-----------|--|--|----------------|--|--|-----------|--|--|------------|--|--|------------|--|--|--------|--|--|--|--|--|-----------------------------------|--|--|--|-----|---|----------------------------------------|--|--|--|------------|--|--|--|--|-----|-----|----------|--|--|--|--|--|---------------------|--|----|---|--|--|-----------------------|--|----|-----|--|--|-----------------------------------|--|----|-----|------------|--|--|--|--|--|------------|--|----|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                        | (ii)        | <p><b>Cromer plc</b><br/><b>Statement of Financial Position as at 31 December Year 4 ✓</b></p> <table><tr><td><b>Non-Current Assets ✓</b></td><td><b>Cost</b></td><td><b>Agg Dep</b></td><td><b>NBV</b></td><td></td><td></td></tr><tr><td>Property</td><td>690</td><td>(30)</td><td>720</td><td>(1)</td><td></td></tr><tr><td>Office Equipment</td><td>300</td><td>172</td><td>128</td><td rowspan="2">]</td><td rowspan="2">(1)</td></tr><tr><td>Motor Vehicles</td><td>180</td><td>54</td><td>126</td></tr><tr><td></td><td><u>1170</u></td><td><u>196</u></td><td><u>974</u></td><td></td><td></td></tr><tr><td>Goodwill (20-8)</td><td></td><td></td><td><u>12</u></td><td>(1)</td><td></td></tr><tr><td></td><td></td><td></td><td>986</td><td></td><td></td></tr><tr><td><b>Current Assets ✓</b></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Trade Receivables (44-6)</td><td></td><td></td><td>38</td><td>(1)</td><td></td></tr><tr><td>Closing Inventory</td><td></td><td></td><td>26</td><td>✓</td><td></td></tr><tr><td>Selling Expenses Receivable</td><td></td><td></td><td>4</td><td>✓</td><td></td></tr><tr><td>VAT</td><td></td><td></td><td><u>28</u></td><td>(2)</td><td></td></tr><tr><td></td><td></td><td></td><td>96</td><td></td><td></td></tr><tr><td><b>Less Current Liabilities ✓</b></td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Trade Payables</td><td>32</td><td>✓</td><td></td><td></td><td></td></tr><tr><td>Admin Expenses Payables</td><td>4</td><td>✓</td><td></td><td></td><td></td></tr><tr><td>Corporation Tax Payable</td><td>30</td><td>(2)</td><td></td><td></td><td></td></tr><tr><td>Cash &amp; Cash Equivalents (7-24)</td><td><u>17</u></td><td>(1)</td><td><u>83</u></td><td></td><td></td></tr><tr><td>Working Equity</td><td></td><td></td><td><u>13</u></td><td></td><td></td></tr><tr><td>Net Assets</td><td></td><td></td><td><u>999</u></td><td></td><td></td></tr><tr><td>Equity</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>450,000 Ordinary Shares £1 each ✓</td><td></td><td></td><td></td><td>450</td><td rowspan="2">]</td></tr><tr><td>400,000 6% Preference Shares £1 each ✓</td><td></td><td></td><td></td><td><u>400</u></td></tr><tr><td></td><td></td><td></td><td></td><td>850</td><td>(2)</td></tr><tr><td>Reserves</td><td></td><td></td><td></td><td></td><td></td></tr><tr><td>Revaluation Reserve</td><td></td><td>30</td><td>✓</td><td></td><td></td></tr><tr><td>Unappropriated Profit</td><td></td><td>79</td><td>(1)</td><td></td><td></td></tr><tr><td>Share Premium (150-60 (1)-50 (1))</td><td></td><td>40</td><td>(2)</td><td><u>149</u></td><td></td></tr><tr><td></td><td></td><td></td><td></td><td><u>999</u></td><td></td></tr></table> <p>Headings, labels, arithmetic and no extraneous items across parts (a)(i) and (ii) (1)</p> |            |            |     |  | <b>Non-Current Assets ✓</b> | <b>Cost</b>         | <b>Agg Dep</b> | <b>NBV</b> |  |  | Property | 690 | (30) | 720 | (1) |  | Office Equipment | 300 | 172 | 128 | ] | (1) | Motor Vehicles | 180 | 54 | 126 |  | <u>1170</u> | <u>196</u> | <u>974</u> |  |  | Goodwill (20-8) |  |  | <u>12</u> | (1) |  |  |  |  | 986 |  |  | <b>Current Assets ✓</b> |  |  |  |  |  | Trade Receivables (44-6) |  |  | 38 | (1) |  | Closing Inventory |  |  | 26 | ✓ |  | Selling Expenses Receivable |  |  | 4 | ✓ |  | VAT |  |  | <u>28</u> | (2) |  |  |  |  | 96 |  |  | <b>Less Current Liabilities ✓</b> |  |  |  |  |  | Trade Payables | 32 | ✓ |  |  |  | Admin Expenses Payables | 4 | ✓ |  |  |  | Corporation Tax Payable | 30 | (2) |  |  |  | Cash & Cash Equivalents (7-24) | <u>17</u> | (1) | <u>83</u> |  |  | Working Equity |  |  | <u>13</u> |  |  | Net Assets |  |  | <u>999</u> |  |  | Equity |  |  |  |  |  | 450,000 Ordinary Shares £1 each ✓ |  |  |  | 450 | ] | 400,000 6% Preference Shares £1 each ✓ |  |  |  | <u>400</u> |  |  |  |  | 850 | (2) | Reserves |  |  |  |  |  | Revaluation Reserve |  | 30 | ✓ |  |  | Unappropriated Profit |  | 79 | (1) |  |  | Share Premium (150-60 (1)-50 (1)) |  | 40 | (2) | <u>149</u> |  |  |  |  |  | <u>999</u> |  | 15 | <p>All 3 figures must be shown to gain award for property.</p> <p>Goodwill must be shown below NCA to gain award.</p> <p>Closing Inventory, Other Receivables and VAT for 2 marks. If only 2, 1 mark. Only 1 - 0 marks.</p> <p>Trade Payables, Other Payables and Corporation Tax needed for 2 marks. If only 2, 1 mark. Only 1 - 0 marks.</p> <p>Value or number of shares missing award 1 mark maximum. If shares not shown first award 1 mark maximum.</p> <p>If Ordinary Shares 400 and Pref Shares 400 award 1 mark maximum.</p> <p>Accept Bonus Shares as separate entry immediately above or below Ordinary Shares.</p> <p>If Share Premium 140, 160, 90 or 100 award 1 mark.</p> <p>If Preliminary expenses entered do not award adjustment to Share Premium.</p> |
| <b>Non-Current Assets ✓</b>            | <b>Cost</b> | <b>Agg Dep</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | <b>NBV</b> |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Property                               | 690         | (30)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 720        | (1)        |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Office Equipment                       | 300         | 172                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 128        | ]          | (1) |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Motor Vehicles                         | 180         | 54                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 126        |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|                                        | <u>1170</u> | <u>196</u>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | <u>974</u> |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Goodwill (20-8)                        |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <u>12</u>  | (1)        |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|                                        |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 986        |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Current Assets ✓</b>                |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Trade Receivables (44-6)               |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 38         | (1)        |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Closing Inventory                      |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 26         | ✓          |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Selling Expenses Receivable            |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 4          | ✓          |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| VAT                                    |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <u>28</u>  | (2)        |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|                                        |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | 96         |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <b>Less Current Liabilities ✓</b>      |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Trade Payables                         | 32          | ✓                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Admin Expenses Payables                | 4           | ✓                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Corporation Tax Payable                | 30          | (2)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Cash & Cash Equivalents (7-24)         | <u>17</u>   | (1)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | <u>83</u>  |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Working Equity                         |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <u>13</u>  |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Net Assets                             |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | <u>999</u> |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Equity                                 |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| 450,000 Ordinary Shares £1 each ✓      |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            | 450        | ]   |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| 400,000 6% Preference Shares £1 each ✓ |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            | <u>400</u> |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|                                        |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            | 850        | (2) |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Reserves                               |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Revaluation Reserve                    |             | 30                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | ✓          |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Unappropriated Profit                  |             | 79                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | (1)        |            |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Share Premium (150-60 (1)-50 (1))      |             | 40                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | (2)        | <u>149</u> |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
|                                        |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |            | <u>999</u> |     |  |                             |                     |                |            |  |  |          |     |      |     |     |  |                  |     |     |     |   |     |                |     |    |     |  |             |            |            |  |  |                 |  |  |           |     |  |  |  |  |     |  |  |                         |  |  |  |  |  |                          |  |  |    |     |  |                   |  |  |    |   |  |                             |  |  |   |   |  |     |  |  |           |     |  |  |  |  |    |  |  |                                   |  |  |  |  |  |                |    |   |  |  |  |                         |   |   |  |  |  |                         |    |     |  |  |  |                                |           |     |           |  |  |                |  |  |           |  |  |            |  |  |            |  |  |        |  |  |  |  |  |                                   |  |  |  |     |   |                                        |  |  |  |            |  |  |  |  |     |     |          |  |  |  |  |  |                     |  |    |   |  |  |                       |  |    |     |  |  |                                   |  |    |     |            |  |  |  |  |  |            |  |    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |

| Question |     |  | Expected response                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Max mark | Additional guidance |
|----------|-----|--|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------|
|          | (b) |  | <p>Preference shares are part of share equity whereas debentures are non-current liabilities. (1)</p> <p>Preference shareholders may have voting rights whereas debenture holders do not. (1)</p> <p>Preference shareholders carry a fixed rate of dividend whereas debenture holders have a fixed rate of interest. (1)</p> <p>Preference shareholders do not guarantee a return on their investment whereas debenture finance cost must be paid. (1)</p> <p>Preference shares are not repayable whereas Debentures are repayable. (1)</p> <p>Both are long-term sources of finance. (1)</p> | 2        |                     |

[END OF MARKING INSTRUCTIONS]